

INDIA'S MITTELSTAND

Limited access to affordable capital, restricted market reach, and inadequate infrastructure are impeding the growth of small businesses that contribute nearly a third of India's economic output

BY **RICHA SHARMA**

▶ MICRO, SMALL, AND Medium Enterprises (MSMEs), a key pillar of the government's flagship Make in India initiative, are battling multiple internal and external headwinds retarding their growth.

Parliament recently approved the Micro, Small and Medium Enterprises Development (Amendment) Bill, 2026, aimed at strengthening the framework for resolving disputes over delayed payments and improving ease of doing business for MSMEs.

But Anil Bhardwaj, secretary general of the Federation of Indian Micro and Small & Medium Enterprises (FISME), says addressing delayed payments is just an incremental change for MSMEs, which need more comprehensive legislation.

MSMEs account for 35.4% of Indian manufacturing, 48.58% of exports and 31.1% of GDP. With over 74.7 million enterprises employing 328.2 million people, the sector is



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SECTOR IN NUMBERS

2nd
LARGEST
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AGRICULTURE

31.1
PER CENT
OF GDP

35
PER CENT
OF MANUFACTURING
OUTPUT

48.58
PER CENT
OF
EXPORTS

76
MILLION
MSMEs EMPLOY 335
MILLION PEOPLE

PHOTO BY **SUMIT KUMAR**